NORTHLINE PRECISION

Pipe Bending & Fabrication Ltd.

CONFIDENTIAL INFORMATION MEMORANDUM

ASME 'U'-Stamp & National Board Certified Fabricator · Edmonton, Alberta, Canada

MARCH 2026

PREPARED BY THE COMPANY'S EXCLUSIVE SELL-SIDE ADVISOR

STRICTLY CONFIDENTIAL

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EXECUTIVE SUMMARY

Certification Scarcity, Margin Expansion, and Repeat Demand Underpin the Opportunity

01

Certification Moat

Dual ASME 'U'-Stamp + National Board certification held by fewer than ~120 shops nationally; new entrants typically need 12–18 months to replicate it.

02

Margin Expansion

EBITDA margin (disclosed trend) expanded from 16.2% to 22.3% over five years — a 610bps improvement — ahead of sector averages.

03

Repeat Customer Base

Top 5 customers average 7+ year relationships; roughly 94% of MSA-covered revenue has renewed over the past three years.

04

Automation Upside

A phased automation program is expected to add 200–300bps of incremental EBITDA margin over the next 24 months, per management's capital plan.

A 31-Year, Dual-Certified Fabricator Serving Tier-1 Energy Infrastructure Operators

Northline Precision Pipe Bending & Fabrication Ltd. is a privately held, ASME 'U'-Stamp and National Board certified fabrication facility based in Edmonton, Alberta — the industrial heartland of the Western Canadian Sedimentary Basin.

Founded in 1994 and operating continuously for 31 years, the Company supplies code-certified pipe bending and pressure vessel fabrication to Tier-1 oil & gas operators, refiners, and petrochemical facilities across Western Canada.

Northline has built long-standing relationships with Tier-1 operators by combining specialized certifications, technical capabilities, and consistent execution over three decades. Margins have historically run ahead of sector averages, though the business is not immune to the capex cycles of its end markets — see Section IX for detail.

NPS 6–42

INDUCTION BENDING RANGE

9ft Ø × 36ft

MAX VESSEL DIMENSION

ABSA Certified

BOILER & PV SAFETY

CRN Registered

PAN-CANADA + INTERNATIONAL

Dual Certification Creates a Durable Barrier to New Market Entry

CERTIFICATION	SIGNIFICANCE
ASME 'U'-Stamp	Authorizes construction and stamping of pressure vessels to ASME Boiler & Pressure Vessel Code, Section VIII.
National Board Registration	Enables cross-jurisdictional recognition of certified pressure equipment across Canada and internationally.
ABSA Certification	Alberta's boiler and pressure vessel safety authority; mandatory for in-province fabrication and repair work.
CRN Registration	Canadian Registration Number required for pressure-retaining equipment sold or installed pan-Canada.

WHY THIS MATTERS TO A BUYER

Re-certification requires significant time, engineering oversight, and regulatory approval. New entrants typically need 12–18 months and a dedicated quality function before they can bid on comparable work — fewer than ~120 shops nationally hold this combined certification profile today.

REASON FOR SALE

A Founder-Driven Succession Decision, Not a Distressed Sale

Founder Robert Halden, 61, has led Northline since founding the business in 1994 and has no family successor in the business. Having just completed a multi-year capacity and automation program, he is looking to step back from day-to-day operations and is seeking a partner financial or strategic to fund the next phase of growth while providing a partial liquidity event.

- Founder-driven retirement and succession decision — not a distressed or forced sale
- No internal succession candidate; senior operators are committed to the business but are not buyers
- Founder intends to roll approximately 15% of transaction value into go-forward equity and provide a seller note, retaining a ~25% continuing economic interest
- Open to a structured 12–24 month transition period to support a smooth handover

CORE BUSINESS SEGMENTS

Two Complementary Segments Balance Volume and Margin

SEGMENT	% REVENUE	REVENUE	GROSS MARGIN	% ADJ. EBITDA
Pipe Bending & Rolling	58%	$5.45M	34%	~51%
Pressure Vessel Fabrication	42%	$3.95M	41%	~49%

Pipe Bending & Rolling

Hot, cold & induction bending (NPS 6–42); full/half S-bends, helix & double-helix coils, compound and expansion bends, double-jacketed piping; post-bend heat treatment; CRN and NDE/NDT documentation.

Pressure Vessel Fabrication

Pig launchers/receivers (CSA Z662, B31.3/4/8); basket & inline strainers; blow-down tanks; closures; transitions to NPS 12"; vessels to 9ft Ø × 36ft; U-stamped, NB-registered; ABSA certified.

CAPABILITIES & EQUIPMENT

In-House Capabilities Span Bending, Fabrication, and Non-Destructive Testing

8 YRS	~78%	~15,000 FT	~140
AVG. FLEET AGE	CAPACITY UTILIZATION (2025E)	ANNUAL LINEAR FT. BENT	VESSELS FABRICATED / YR

Induction Bending Line

NPS 6–42, wall schedules to XXH, radius-controlled bends to code

CNC Pipe Fabrication Cells

Automated cutting, beveling, and fit-up for high-repeatability runs

Post-Weld Heat Treatment Furnace

In-house PWHT to code, eliminating third-party subcontracting delay

Hydrotest Bay

On-site pressure testing to ASME/CSA requirements

NDE / NDT Laboratory

Radiographic, ultrasonic, and magnetic-particle inspection in-house

Rolling & Forming Equipment

Plate rolling to 9ft Ø for large-diameter vessel shells

Premium-Alloy Mix Shift Is the Primary Driver of Margin Expansion

Grade mix by revenue, based on the 2025E order book.

MATERIAL FAMILY	GRADES	% OF REVENUE	AVG. GROSS MARGIN
Carbon Steel	ASTM A106 Gr. B; A335 Alloy Forgings (F1–F22)	62%	33%
Stainless	316 / 304L	26%	41%
Duplex & High-Alloy	Customer-specified sour-service grades	12%	46%

Premium alloys (stainless, duplex, high-alloy) carry gross margins 8–13 points above carbon-steel equivalents and represent 38% of 2025E revenue, up from an estimated 29% in 2021 — the primary driver of the margin expansion shown in Section IX.

Further diligence is required to fully verify grade mix and pricing across the order book at the SKU level.

A Tenured Workforce and Available Land Support Continued Growth

45,000 SQ FT
FABRICATION FACILITY

62
TOTAL EMPLOYEES

38
SHOP FLOOR / PRODUCTION STAFF

7+ YRS
AVERAGE EMPLOYEE TENURE

2 SHIFTS
MON–FRI + SAT. OVERTIME AS NEEDED

~78%
CURRENT FACILITY UTILIZATION

2.5 ACRES
ADJACENT LAND UNDER OPTION

Skilled Labour Position

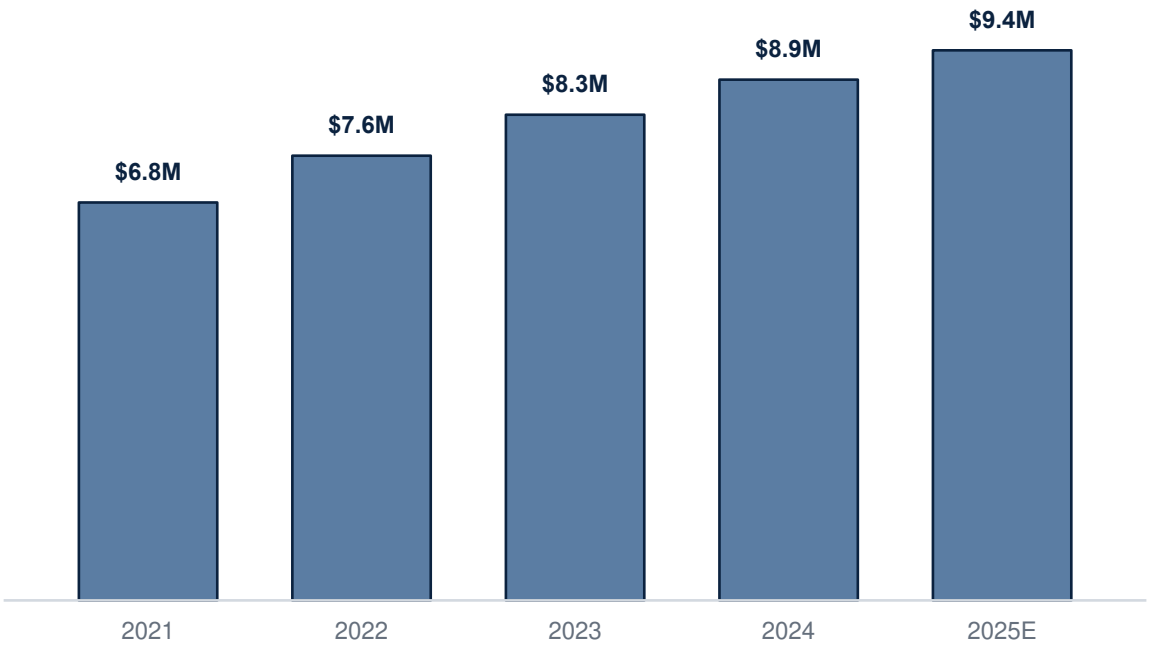
Skilled pipe benders and certified welders remain scarce across Alberta. The Company's tenured, cross-trained workforce and documented SOPs reduce reliance on any single individual — an advantage that would take a new entrant years to replicate.

Succession & Continuity

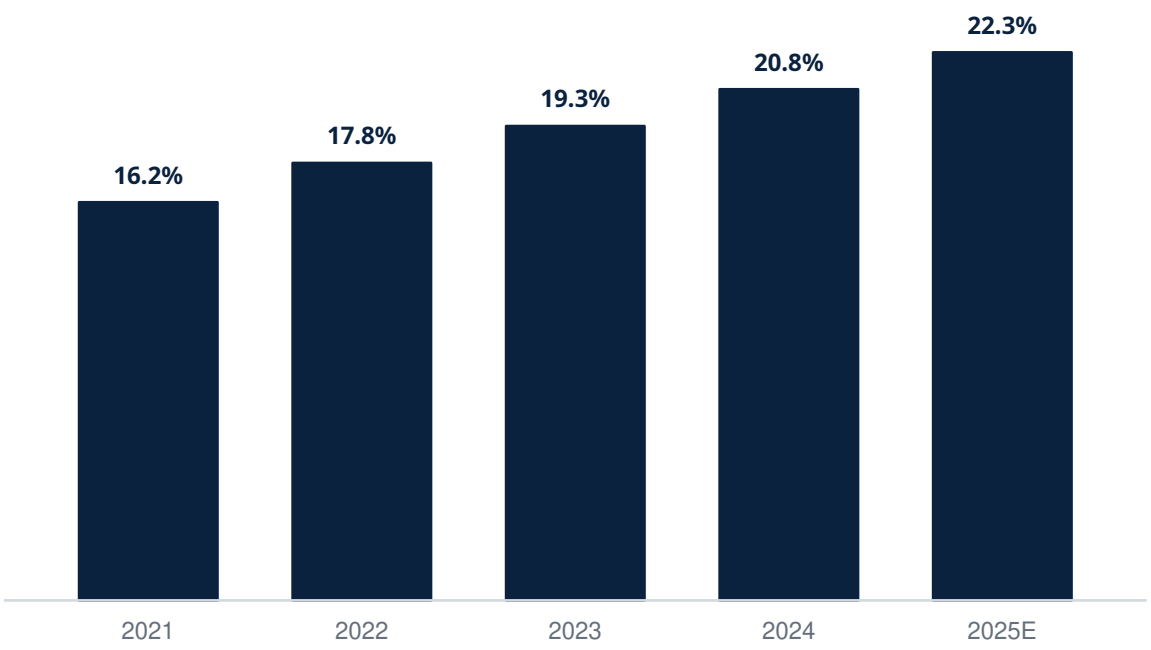
The founder has indicated openness to a structured 12–24 month transition (see Section IV). Senior operations and quality leadership are expected to remain in place post-transaction, subject to retention arrangements described in Section XV.

Five Consecutive Years of Revenue Growth and Margin Expansion

REVENUE ($M CAD)



EBITDA MARGIN — DISCLOSED TREND (%, E)



Revenue CAGR 2021–2025E: 8.4% | Margin expansion: 610bps | This is a management-disclosed trend line — see Section X for the reported-to-adjusted EBITDA build, which does not tie out exactly pre-diligence.

EBITDA NORMALIZATION

Normalization Adjustments Bridge Reported to a $2.00M Adjusted EBITDA

Reported EBITDA (2025E)	**$1.65M**
Owner Compensation Add-Back (+) *Founder salary/bonus above market rate for a non-owner GM of comparable scope*	**$0.28M**
Non-Recurring Legal / Advisory Costs (+) *One-time settlement with a former subcontractor, resolved Q2 2025*	**$0.09M**
One-Time Equipment Relocation (+) *Partial relocation of a fabrication bay completed in 2024*	**$0.06M**
Normalized Market-Rate Management Cost (–) *Cost of a market-rate GM replacing founder oversight post-close*	**($0.08M)**
Adjusted EBITDA (2025E)	**$2.00M**

QUALITY OF EARNINGS CONSIDERATIONS

Preliminary Items Frame the Scope of Stage 2 Diligence

Revenue Recognition

Percentage-of-completion for multi-month vessel jobs; standard bending work recognized on delivery.

Working Capital

Typically 12–15% of revenue; Tier-1 customer terms (net 45–60) partially offset by supplier terms.

Maintenance CapEx

Averages ~$180K/yr outside the 2023–2024 automation cycle (see Appendix, Section XXI).

Customer Concentration

Top 5 customers ≈ 59% of revenue; see Section XII for detail and mitigants.

Cash Conversion

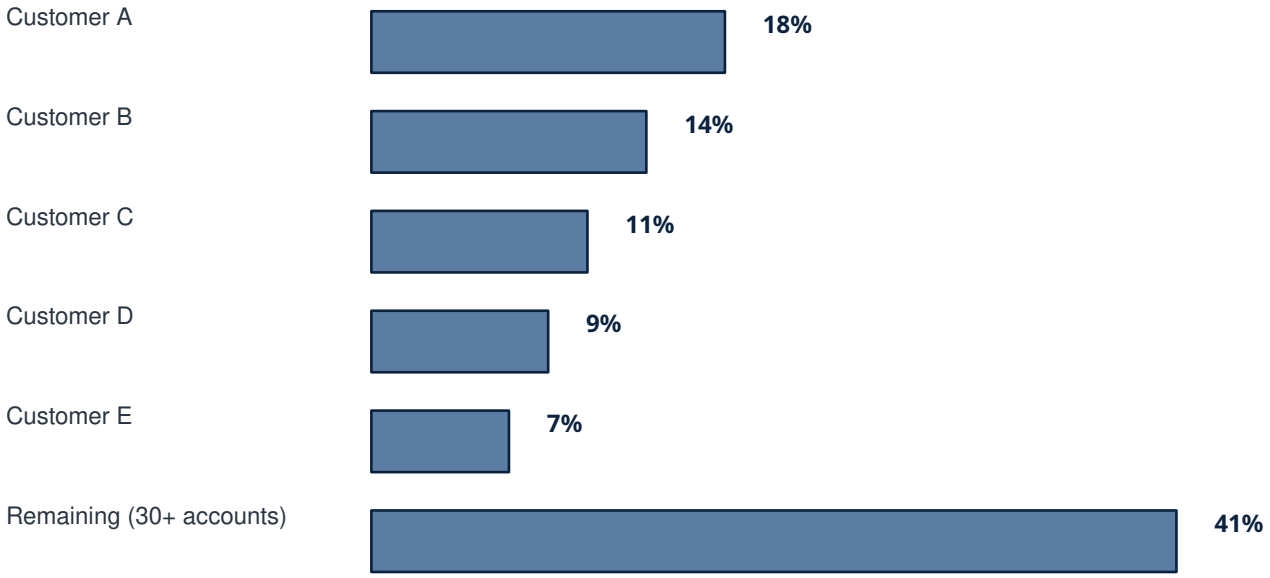
EBITDA-to-cash conversion has historically run 75–85%, typical of project-based fabrication.

Seasonality

Q1 volumes run 10–15% below the annual average due to customer winter shutdowns.

A Diversified, Long-Tenured Customer Base Supports Revenue Visibility

CUSTOMER CONCENTRATION (% OF 2025E REVENUE)



Industry Mix (% of Revenue)
Midstream Pipeline Operators — 38%
Refining & Petrochemical — 27%
Oilfield Services / EPC — 21%
Other Industrial — 14%

Relationship Quality
Average customer relationship: 7.2 years
3-year MSA renewal / repeat rate: ~94%

Revenue Visibility
Multi-year MSAs with Tier-1 operators support forward visibility beyond the current fiscal year; no single customer exceeds 18% of revenue.

Structural Capex and Certification Barriers Support Long-Term Demand

$15B+ (E)

Illustrative estimate of annual Alberta pipeline & facility capex through 2028, sustaining demand for certified fabrication

Rising

ABSA tightening of PV inspection regimes and mandatory ASME certification on new-build projects raises entry barriers

Scarce

Skilled pipe benders and welders remain in short supply across Alberta, favoring incumbent tenured shops

Emerging

Hydrogen infrastructure, LNG, and carbon capture projects represent early-stage growth vectors for certified pressure piping

GROWTH OPPORTUNITIES

Organic, Operational, and Strategic Levers Support the Growth Case

ORGANIC	OPERATIONAL	STRATEGIC
Premium-Alloy Mix Shift Continued growth in sour-service and high-alloy orders as a share of volume.	**Automation Capex** 200–300bps of potential EBITDA margin expansion, subject to execution and validation.	**Geographic Reach** Selective expansion into U.S. Gulf Coast and LNG-adjacent markets, leveraging existing CRN/NB registration.
Field Services Extension On-site repair and alteration of existing pressure equipment — an underpenetrated adjacent revenue stream.	**Capacity Expansion** A second induction-bending cell would relieve bottlenecks and support larger-diameter work.	**Bolt-On Acquisition** Tuck-in of a complementary regional fabricator to add capacity or an adjacent certification.

A Committed Leadership Team Plans to Remain Through Transition

Robert Halden

FOUNDER & PRESIDENT

31 years — founded the Company in 1994. 100% pre-transaction equity owner; intends to roll ~15% of transaction value into go-forward equity and provide a seller note (see Section IV). Open to a 12–24 month transition.

Marcus Delaine

VP, OPERATIONS

18 years tenure — oversees production scheduling, quality systems, and shop floor operations. No current equity; a retention package (cash + incentive) is expected to secure a 24+ month post-close commitment.

Devon Whitcombe

PRODUCTION MANAGER

9 years tenure — manages shop floor supervisors and cross-trained production staff. No current equity; a retention incentive is planned alongside Delaine's to preserve production continuity.

INVESTMENT THESIS SUMMARY

A Balanced Risk-Return Profile for a Control-Oriented Acquirer

Northline pairs recurring, certification-driven demand with clear upside from automation and mix optimization — a balanced risk-return profile for a control-oriented acquirer.

Four factors drive the thesis: a certification moat held by fewer than ~120 shops nationally; margin expansion from 16.2% to 22.3% over five years; a repeat customer base averaging 7+ year relationships; and 200–300bps of visible automation-driven upside.

PRIMARY RISK

Revenue concentration and margin compression during O&G capex downturns — manageable given recurring demand and multi-year MSA coverage. See Section XVIII for mitigants.

VALUATION CONTEXT

Triangulated Methodologies Support a $9.0M–$13.0M Indicative Range

Precedent Transactions

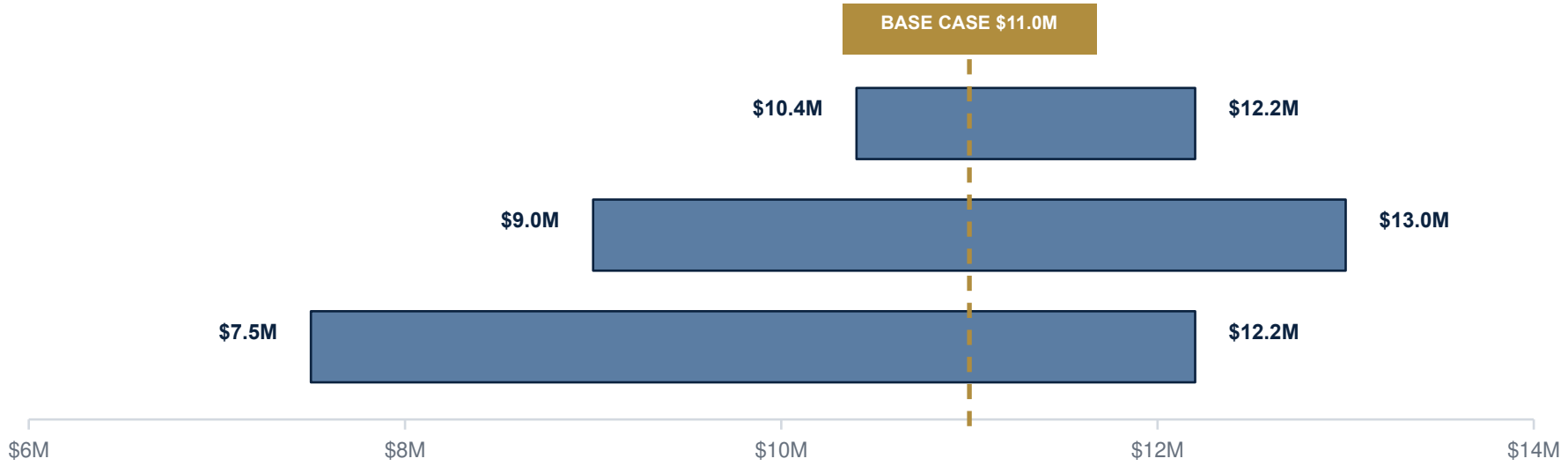
5.2x – 6.1x Adj. EBITDA

EV / EBITDA

4.5x – 6.5x Adj. EBITDA

EV / Revenue

0.8x – 1.3x 2025E Revenue



PRECEDENT TRANSACTIONS (ILLUSTRATIVE, ANONYMIZED — CERTIFIED FABRICATORS, 2023–2025)

TARGET	GEOGRAPHY	YEAR	EV / EBITDA
Certified Fabricator A	Texas	2024	5.8x
Pipe & Vessel Co.	Alberta	2023	5.2x
Pressure Equipment Group	Saskatchewan	2025	6.1x
Mean	—	—	**5.7x**
Median	—	—	**5.8x**

Identified Risks Are Manageable With Clear Mitigants

Commodity / O&G Capex Cycle	MED-HIGH	*Multi-year MSAs and diversified end markets (pipeline, refining, petrochemical) reduce single-cycle exposure*
Customer Concentration	MEDIUM	*Top customer at 18% of revenue; 30+ active accounts provide a long tail*
Key-Man / Succession	MEDIUM	*12–24 month transition period; VP Ops and Production Manager retention packages (Section XV)*
Skilled Labour Scarcity	MEDIUM	*Documented SOPs, cross-training, and 7+ year average tenure reduce single-person dependency*
EBITDA Normalization	MEDIUM	*Add-backs are itemized and independently verifiable in Stage 2 diligence (Section X)*
Regulatory (ASME / ABSA)	LOW	*Certifications current and in good standing; no pending compliance actions*

A Structured Six-Step Process Guides the Path to Close

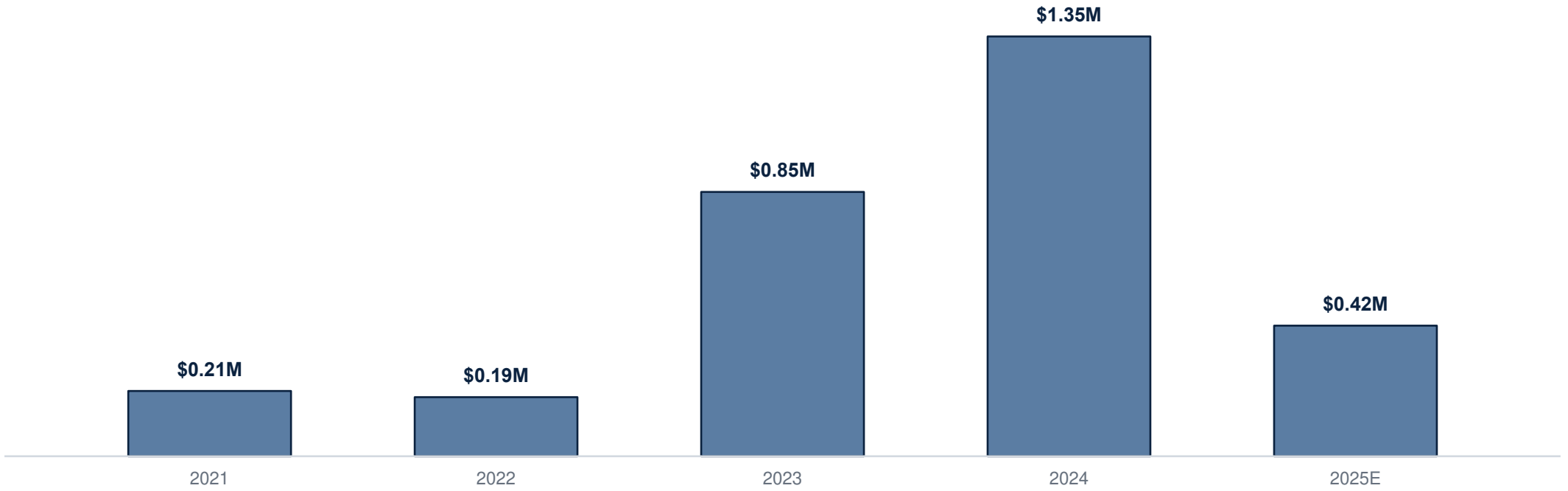
1	2	3	4	5	6
NDA Execution	**Management Meeting**	**Indication of Interest**	**Letter of Intent**	**Confirmatory Diligence**	**Definitive Agreement & Close**
Mutual non-disclosure agreement to receive this CIM and data room access.	Session with ownership and senior operations leadership.	Non-binding IOI outlining structure, valuation, and financing plan.	Preferred party negotiates a non-binding LOI; exclusivity begins.	Financial, legal, operational, and customer diligence; site visit.	Purchase agreement negotiation and transaction close.

APPENDIX — DATA ROOM CONTENTS

Full Diligence Materials Are Available Upon NDA Execution

- Facility photographs and site plan
- Full equipment list with maintenance and service logs
- Three-year financial statements (reviewed) and 2025 interim financials
- Organization chart and employee census
- Monthly revenue detail (trailing 36 months)
- Historical capital expenditure schedule, 2021–2025 (see Section XXI)
- Customer contract and MSA summary
- Environmental, health & safety compliance records

Elevated 2023–2024 CapEx Reflects the Automation Investment Program



2023–2024 capex reflects the automation and partial facility relocation program referenced throughout this memorandum. Maintenance capex outside this cycle has averaged approximately $180K/year.

Interested in Learning More?